

Bonds

If stocks are the party animals of the world, bonds are the studious, quiet types. They don't bother anyone, they do what they say they'll do and, sadly, they're often left out of the equation until things start to fall apart.

Bonds are when you get to act like a bank and loan your money to a government or company. With bonds, the company or government are basically asking you to loan them money. They'll pay it back to you with a fixed amount of interest to say thank you for letting them borrow it. In fancy terms bonds are a debt instrument (think of an 'instrument' like a service) representing a loan by you, the investor, to a borrower, such as a government.

Companies and organisations use the money raised through bonds to finance their work. Companies issue corporate bonds and governments issue municipal bonds, but the way they both work is very much the same. The bond rates are affected by interest rates, so when interest rates rise, people tend to buy more bonds. You buy your bond at an agreed interest rate, then you get paid your fixed interest (e.g. 2 per cent) no matter what the climate of the world is, unlike shares, where the returns you get fluctuate. After the agreed amount of time, you get your initial money back. This initial money is called your principal.

Bonds are much less risky than stocks. One way I remember this is thinking 'the government can't *not* pay me back if I lend them money — it'll make them look bad!' However, due to the lower risk of them ghosting you, they give you a lower return on your money. You'll notice this trend a lot through this book: if you want to increase your chance of making more gains, you need to factor in more risk. Investors in training know they can't quite have their cake and eat it too.

Mutual funds

Rather than holding your money in individual companies, you can put a bunch of companies together in a basket and invest in a piece of that basket, called a fund. This is where mutual funds come in. Mutual funds (also known as managed funds) are baskets that can be filled with many different